

Debt Overhang During Policy Uncertainty:

The Case of Gold Clauses in the 1930s^{*}

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Abstract

We study the impact of the 1933 abrogation of gold clauses on the slow recovery of corporate investment following the Great Depression. Constitutional challenges to the abrogation exposed many firms to a potential 69% increase in bond payments. Public firms with higher exposure to this risk reduced their investment in 1933 and 1934 followed by a recovery upon the Supreme Court’s 1935 decision to uphold the abrogation. In the cross section, decreases in investment during 1933 and 1934 coincide with increases in equity payouts. Higher leverage uncertainty accounts for around one third of public firms’ divestment in 1933 and 1934.

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